



TV MOHANDAS PAI
CHAIRMAN,
AARIN CAPITAL
AITUC

“The forced saving in PF is good. Firms want the rules to be notified to see how they will operate and how the role of inspectors will reduce”



AMARJEET KAUR
GENERAL
SECRETARY, AITUC

“The Codes are pro-employer with provisions to weaken trade unions. The ministry held very few discussions on them”

ment stagnate or decline in several states in recent years. Besides, it is becoming more capital-intensive.

The Codes may help here, Ahuja, the former labour secretary, says. They make the Factories Act 1948, which was not in sync with a modern economy, redundant. “This is likely to give an impetus to the manufacturing sector and will also be positive for the services sector,” she avers.

Rumki Majumdar, Economist at Deloitte India, says enabling women to work in night shifts will help manufacturers access a bigger pool of workforce, improving overall productivity. “Some of the biggest beneficiaries would be the Tier II and III towns, which have a high concentration of MSMEs,” she says. She adds that the Codes will substantially improve working conditions and standards at MSMEs, which

in turn, will help broad-base growth as these cities will attract investments.

One of the highlights and, perhaps, the most contentious provision is in the Industrial Relations Code, 2020. This is the tripling of the threshold for lay-off, retrenchment, and closure to 300 workers from 100 earlier, enabling “smaller industrial establishments employing fewer than 300 workers to restructure operations based on their requirements without needing complex government approvals”.

While unions have called this an attack on workers’ rights, the threshold could be too low to be truly meaningful for big businesses.

“From a broader business sentiment standpoint, 300 is a relatively small number, particularly when compared with workforce sizes in major manufacturing or industrial operations. However, the threshold cannot be viewed solely from the lens of ease of doing business—worker protection remains an equally important consideration in the Indian context,” Prakash notes. He feels a more nuanced approach might have been preferable with industry-specific thresholds.

The labour ministry is confident that the Codes will boost investment and employment by providing predictability and stability and by cutting the compliance burden for firms. Gurnani says exports, too, will get a boost as provisions on social security and welfare now align with those in developed countries. Labour standards have been one of the contentious issues for many of India’s exports and free trade agreement negotiations.

A recent note by Cyril Amarchand Mangaldas sums up that the transition to the new regime, whilst demanding, presents an opportunity to modernise employment practices, enhance transparency, and build trust with the workforce. “In an increasingly competitive talent landscape, robust compliance is not merely a legal obligation—it is a strategic advantage,” it sums up.

Nirmal K Minda, President of the industry lobby Assocham, says the Codes replace outdated and fragmented laws with a clearer, more uniform framework, which means fewer filings, simpler compliance, clearer hiring and retrenchment rules, and closer alignment with global standards. “However, the real impact will depend on timely state-level adoption, clarity of rules, and effective management of transition costs and compliance changes.”

The biggest test of the Codes will be in whether they actually lower the compliance burden and convince investors to set up plants and expand operations. **BT**

@surabhi_prasad